

per cent, showing a rise of over 200 basis points (BPS) from early January. Says Sachidanand Shukla, chief economist, Enam Securities: "If the Government borrows heavily then there will be excessive demand and interest rates will move up. This nullifies the RBI's measures to lower rates."

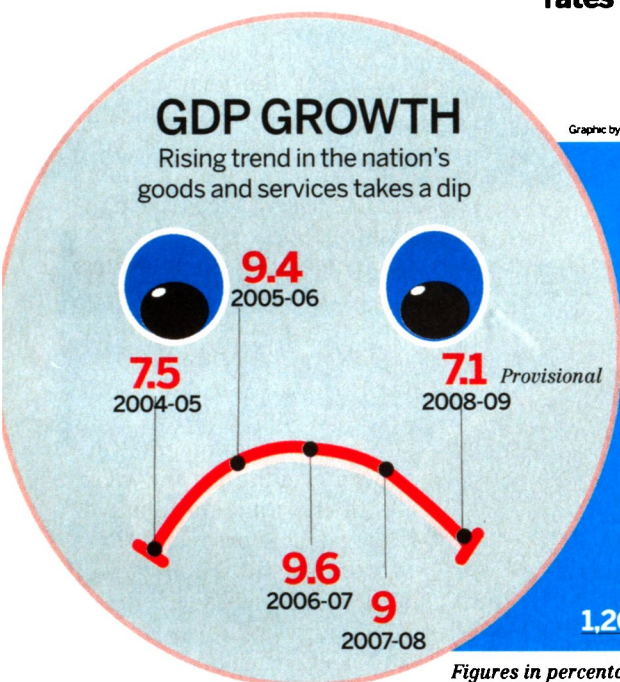
Also, excessive borrowing by the Government will push private borrowers out. Economists call this the "crowding out" of private demand for credit from the market. With corporates on a sticky wicket, banks are

this year. Consequently, the initial reaction of the government bond market to the prospect of persistent pressure on the fiscal deficit has been negative. The yield on the benchmark 10-year government security shot up by 7 BPS to 6.36 per cent on budget day itself. Adds Shukla: "The movement in bond prices shows that the market is not comfortable with the government's borrowing."

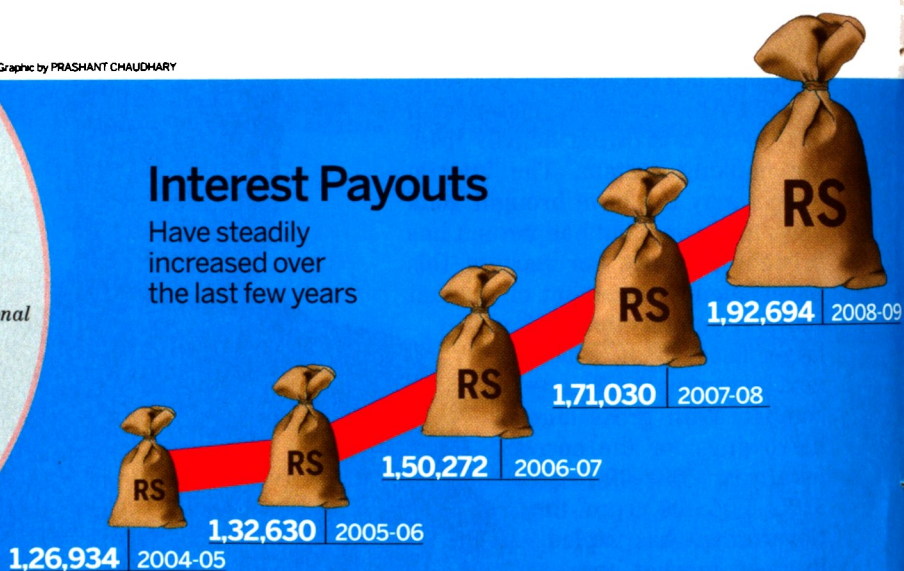
ment securities rather than high-risk private debt. Given the large rollover of Treasury Bills through the first half of FY-09, borrowings are expected to be mostly on long-ended securities and could keep the longer end of the yield curve under pressure. The extent of the overshoot on the Government borrowing programme and the lack of a buffer in terms of market stabilisation scheme (MSS)

**“The doubling of fiscal deficit may place pressure on interest rates unless accommodating policy measures are taken.”**

FALGUNI NAYAR, *Managing Director, Kotak Investment Banking*



Graphic by PRASHANT CHAUDHARY



Figures in percentage

happier to lend to the Government, believes Mehul Choksi, chairman and managing director of jewellery company Gitanjali Group. He says: "The Government has not done much for the ailing gems and jewellery sector. After taking the interest rates to crazy levels, an interest subvention of 2 per cent on post and pre-shipment credit is no help at all."

While companies like Gitanjali and Ceat may be suffering due to high interest rates, the Government on an average has been borrowing Rs 838.56 crore daily from the open market to fund its fiscal deficit and spends on profligate items—bloating such borrowings to Rs 3,06,000 crore

The change in bond prices, both short and long term, is indicative of the cost of funds in the banking system. It's important to note that the 10 year yields had gone down to 4.8 per cent in December with the RBI cutting benchmark rates. Sunil Sapre, CFO of Ceat, says he's waiting for interest rates to come down so that he can borrow at competitive rates. Says Sapre: "We have managed to fund the first phase through internal accruals as we are expecting rates to come down."

But in less than a month, the Government's mega borrowing programme has undone all this. With bond prices moving up, banks may as well park their money in safe govern-

bonds' buyback in the next fiscal would impact bond yields negatively. Explains Abheek Barua, chief economist at HDFC Bank: "Banks will most likely respond to falling credit demand with cuts in lending rates, but it is possible that the upward pressure on bond yields will slow the transmission of monetary signals to lending rate revisions down."

With the going up of bond rates, there is need to immediately infuse more liquidity into the system. As a result, the Reserve Bank may need to cut key policy rates in the next few weeks, possibly bringing the repo and the reverse repo rate down by 50 BPS each and infusing liquidity. Adds